

Research Briefing | Spain

A rise in oil prices is bad news for Spain

Economist

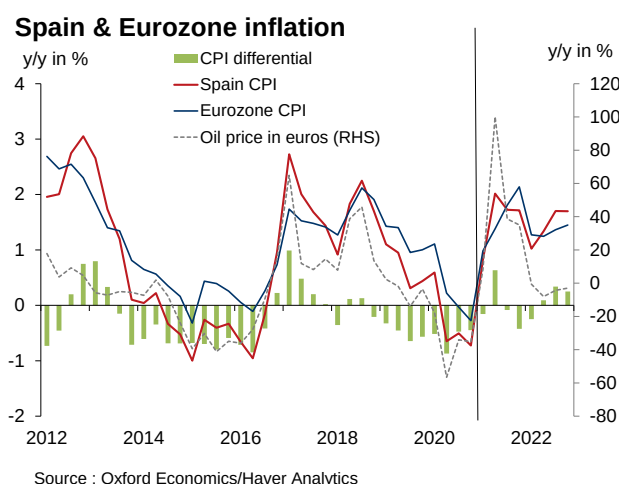
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- Spain is both less energy efficient – it requires more energy to produce one unit of output – and more reliant on oil than its European peers. This means that changes in the price of crude take a larger toll on economic activity than in other eurozone economies.
- The energy component of the consumer basket in Spain is larger than the average in the eurozone, so a rise in oil prices also has a bigger impact on inflation. And given the link between inflation and wage growth is still robust, especially in the public sector, higher inflation in Spain this year will likely mean higher wage growth in 2022.
- The rise in crude prices will also damage Spain's external balances given the large amount of imported oil. We expect the energy bill will be €8bn higher than in 2020, a sum equal to the current account surplus recorded last year.
- Using our Global Economic Model, we have estimated the impact of a hypothetical rise in oil prices to \$100 in 2021 and 2022. At this level, Spain's inflation and GDP growth are more severely damaged than the eurozone's.
- Growth in Spain would fall from 6% to 5.6% in 2021-2022, compared to a drop from 4.4% to 4.2% for the eurozone. Consumer price growth in Spain would nearly double to an average of 2.7% in the same period (currently 1.5% in our baseline), whereas the rise in the eurozone is not as severe (from 1.5% to 2.4%).

Figure 1: Spanish inflation has been below the eurozone average in recent years, but higher oil prices will break this dynamic



Rises in oil prices typically coincide with higher inflation rates in Spain compared to the eurozone.

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Higher oil prices hit Spain on many fronts

After falling to multi-year lows at the start of the pandemic, oil prices have been steadily climbing and have doubled from the levels seen a year ago. The macroeconomic impact of a surge in oil prices is sizable but will hit economies differently. Spain stands to be one of the most affected for several reasons. First, Spain is less energy efficient as it takes more energy to produce one unit of output than its peers, so it's more vulnerable to changes in energy prices. Spain consumes over 15% more energy to produce an equivalent unit of output than Germany and France, and around 25% more than Italy (**Figure 2**). But not only does Spain require more energy to function, it is also much more reliant on oil, which accounts for almost 50% of all of its energy consumption. That compares with 32%-39% for Germany, France, and Italy.

The most immediate impact from higher oil prices will be felt in inflation. Although Spain has generally experienced a lower inflation rate than the rest of the eurozone in recent years, this trend typically reverses when oil prices rise substantially (**Figure 1**). This time will be no different. With crude prices rising quickly in the first half of the year, we expect Spain's inflation to rise sharply after having been in negative territory for most of 2020. The main reason is that the energy component represents a larger share of Spanish inflation than in the Eurozone (12% vs 10%) which means that changes in oil prices ultimately have a larger impact on overall consumer prices (**Figure 3**). Equally important is the [fuel tax wedge](#), which is the amount of tax that the government applies to fuel prices. The smaller the fuel tax wedge, the higher the proportional impact on retail prices of a given rise in oil prices, and vice versa. As taxes on petrol and diesel are proportionally smaller in Spain than in the rest of the eurozone, the impact of the change in oil prices will be translated into retail prices more intensely.

Higher energy prices will also impact the wage setting process, leading to stronger wage growth in 2022. A significant segment of Spanish workers is still covered by a wage indexation system, especially in the public sector, which means that temporary oil-related inflation increases feed through to higher wage costs. The rise in inflation will be relevant for public finances as well, given that pensions are guaranteed by law to rise above inflation and already represent the largest expenditure item in the government's budget, accounting for 20% of total spending.

Figure 2: Spain relies more on oil as source of energy than some of its peers

Energy statistics (2019)				
	Spain	Germany	France	Italy
Consumption (% of total)				
Oil	47.6	35.6	32.5	39.1
Gas	22.7	24.3	16.2	40.0
Nuclear	3.7	17.5	36.8	4.7
Coal	9.1	5.1	2.8	0.0
Hydroelectric	4.0	1.4	5.4	6.3
Renewable	13.0	16.1	6.3	10.0
Total	100.0	100.0	100.0	100.0
Energy intensity*				
Total	114.4	97.0	99.5	88.2

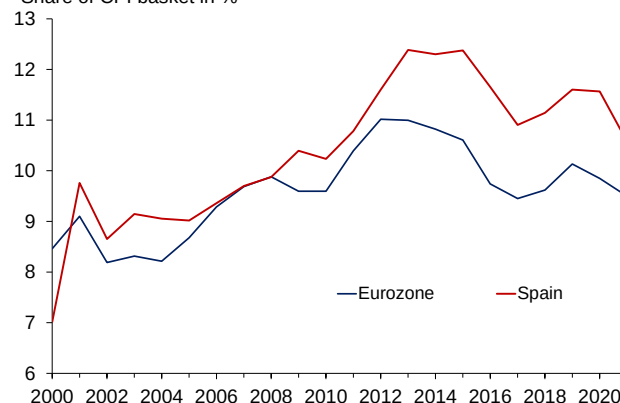
* Tons of oil or equivalent consumed to produce €1 million of output at constant 2019 prices

Source: Oxford Economics / BP Statistical Review

Figure 3: A larger energy component means CPI rises more in Spain when oil prices increase

Spain & Eurozone: Energy component of CPI

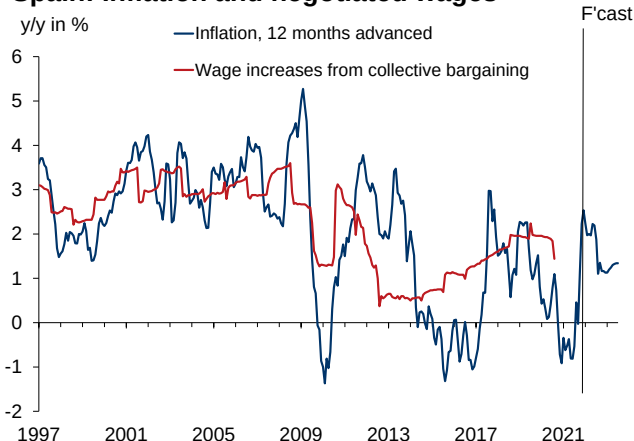
Share of CPI basket in %



Source: Oxford Economics/Haver Analytics

Figure 4: Negotiated wages are still correlated with past inflation

Spain: Inflation and negotiated wages



Source: Oxford Economics/Haver Analytics

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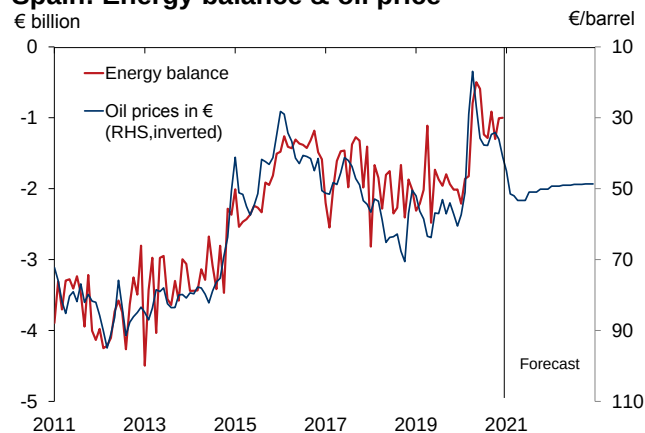
The effects of higher oil prices will be also be felt in the country's external balances. Given than Spain imports virtually all of the oil it consumes, and that oil is a good with highly inelastic demand, changes in crude prices are reflected in large movements in the energy imports bill. From a peak of €45bn in 2013, energy imports plunged to €10bn in 2020 (**Figure 5**). While not the only factor driving the improvement in the current account balance in past years, large savings in energy imports from lower oil prices have played an important role. Given our baseline view of oil prices averaging €51 per barrel this year (ultimately, the price in euros is what matters for a eurozone economy that imports its oil), we estimate that the energy bill will be €8bn higher than last year, which equals the total current account surplus recorded in 2020.

Using our Global Economic Model, we simulated a rise in oil prices to \$100 this year and next. At constant exchange rates, this results in oil prices rising to around €75, or a 50% increase from our current baseline forecast. We estimate the impact would result in GDP growth in Spain falling from an average 6% to 5.6% in 2021-2022, whereas the eurozone goes from 4.4% to 4.2%. This confirms other [studies](#) which suggest for each 10% rise in oil prices, Spain's GDP growth falls around 0.1 percentage points. The effects on inflation are also in line with our modelling. Consumer price growth in Spain would nearly double to an average of 2.7% in 2021-2022 period (from 1.5% in our baseline), whereas the rise in the eurozone is not as severe (from 1.5% to 2.4%).

The policy implications of this are clear – Spain needs to improve its energy efficiency and reduce its dependence on oil as a source of energy. In that respect, Spain has made some improvements, such as adopting nuclear power in the 1980s and increasing gas usage and renewables since the turn of the century. But although the share of renewable energy surged from 1% in 2000 to nearly 10% by the end of that decade, it has since stagnated at around 12%. Consequently, after three decades of a structural slide in the use of oil, the share of oil as a total energy source has been steadily increasing again in recent years. This is not only relevant as a short-term driver of fluctuations in the economic cycle, but also relevant for long-term growth. As our modelling shows, Spain stands to be one of the net losers from the impact of [climate change](#) over the next decades.

Figure 5: Higher oil prices will cost billions to the country's external balance

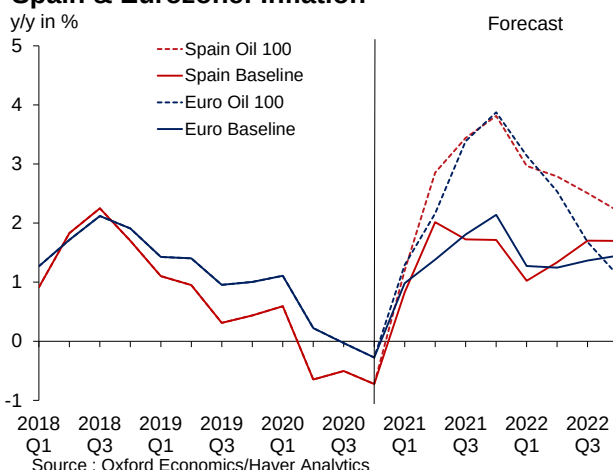
Spain: Energy balance & oil price



Source : Oxford Economics/Haver Analytics

Figure 6: A further rise in oil prices to \$100 would see Spain's inflation temporarily rise to over 3%

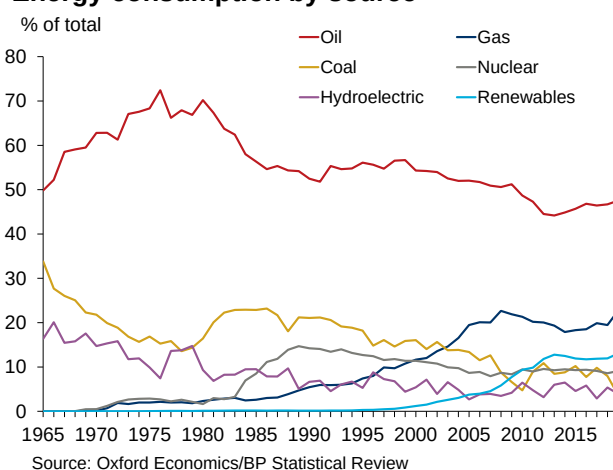
Spain & Eurozone: Inflation



Source : Oxford Economics/Haver Analytics

Figure 7: The downward trend in the share of oil as source of energy has stopped

Energy consumption by source



Source : Oxford Economics/BP Statistical Review